

Understanding Family Trusts in Kenya

A Practical Guide to Creating, Registering and Managing a Family Trust

A family trust can be a powerful tool for preserving family wealth, planning succession and managing assets across generations. But a trust is not simply a company with a different name, nor is it merely a document in which family members list their assets.

A trust is a legal relationship.

Property is placed under the control of trustees, who are required to hold and administer that property in accordance with the trust instrument for the benefit of the persons or purposes identified by the settlor.

Understanding the people involved, their respective roles and how the trust is administered is therefore fundamental to establishing a trust that works as intended.

1. What Is a Family Trust?

Under Kenyan law, a family trust may be a living or testamentary trust and may be partly charitable or non-charitable. It is established for purposes connected with planning or managing a person's estate, preserving or creating wealth for future generations and providing for beneficiaries.

A family trust is expressly recognised as a non-trading entity.

A family trust may be established by one person or jointly by more than one person. The beneficiaries do not necessarily have to be directly related to the person establishing the trust, and the law permits the settlor to be one of the beneficiaries.

In practical terms, a family trust may be used to:

hold and preserve family assets;

provide for children and future descendants;

plan for succession;

create continuity in the ownership and management of family wealth;

hold investments and interests in other entities;

provide financial support for specified beneficiaries;

reduce the disruption that can arise when an individual holding important family assets dies or becomes incapacitated; and

establish rules governing how family property is managed and applied over time.

A family trust should not, however, be treated as an ordinary trading business. Where a family wishes to operate a commercial enterprise, the business will ordinarily be conducted through an appropriate business entity, while the trust may, subject to its terms and appropriate professional advice, hold an interest in that entity.

2. A Simple Illustration

Consider a parent who owns:

a family home;

several rental properties;

shares in a family company;

investments; and

other long-term family assets.

Instead of leaving each asset to pass separately through succession arrangements, the parent may establish a family trust.

The structure may look like this:

Settlor

Transfers or designates property

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Family Trust

Governed by a Trust Deed

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Trustees

Hold and administer trust property

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Beneficiaries

Receive benefits in accordance with the Trust Deed

An Enforcer may also be appointed to monitor the trustees and ensure that the terms of the trust are being observed.

The important point is that the beneficiaries do not simply become direct owners of every trust asset. The trustees administer the trust property subject to the obligations contained in the Trust Deed and applicable law.

3. Who Are the Main Parties to a Family Trust?

A properly structured family trust commonly involves several different roles.

Understanding the distinction between them is important because each role carries different powers and responsibilities.

A. The Settlor

The settlor is the person who establishes the trust.

There may be:

one settlor; or

joint settlors.

The settlor determines the purpose and broad architecture of the trust and ordinarily identifies:

why the trust is being established;

who should benefit;

what property is initially intended for the trust;

who should act as trustees;

how trustees should make decisions;

when and how benefits may be distributed; and

what should ultimately happen to the trust property.

These matters are recorded in the Trust Deed.

The settlor may also transfer property to the trustees as the initial trust property.

Can the settlor also be a beneficiary?

Yes.

Kenyan law expressly provides that a family trust is not invalid merely because the settlor or joint settlors are also beneficiaries.

This can be useful where a person wishes to establish a structure that provides both for themselves during their lifetime and for other beneficiaries over time.

B. The Trustees

The trustees are the persons entrusted with the administration of the trust.

They occupy one of the most important positions in the structure.

Trustees do not hold trust property simply for their own personal benefit. They must administer it in accordance with:

the Trust Deed;

applicable law;

the purposes of the trust; and

their fiduciary responsibilities.

Depending on the Trust Deed, trustees may be responsible for matters such as:

holding trust property;

maintaining trust bank accounts;

managing investments;

approving distributions;

maintaining records and accounts;

protecting trust assets;
making decisions concerning beneficiaries;
appointing professional advisers;
acquiring or disposing of assets where authorised;
ensuring regulatory obligations are met; and
documenting trustee decisions.

Trustees may be individuals or, where appropriate, corporate bodies.

Are trustees the same as beneficiaries?

Not necessarily.

A trustee may also be a beneficiary if the Trust Deed permits this, but the two capacities remain legally distinct.

When acting as trustee, the individual must act in accordance with the trust rather than simply treating trust property as their personal property.

C. The Beneficiaries

The beneficiaries are the persons for whose benefit the trust is established.

Beneficiaries may be specifically named.

For example:

Mary Wanjiku;

John Kamau.

Alternatively, they may be described as a class.

For example:

the children of the settlor;

the descendants of the settlor;

the spouse and descendants of the settlor;

future grandchildren.

Kenyan law permits beneficiaries to be ascertainable by reference to a class or relationship. The Trust Deed may also provide rules for adding or excluding persons from a class of eligible beneficiaries.

The Trust Deed determines the nature of the beneficiaries' interests.

For example, it may provide that trustees:

must make specified payments;

may exercise discretion over distributions;

may apply money for education or healthcare;

may preserve capital until beneficiaries attain a particular age; or

may distribute income while retaining underlying assets.

A beneficiary should therefore not assume that being named in a trust automatically gives an unrestricted right to demand the transfer of particular trust property.

The Trust Deed is critical.

D. The Enforcer

Kenyan trust law expressly recognises the position of an enforcer.

An enforcer is an optional oversight role created under the terms of the trust.

The enforcer's function is broadly to monitor and, where necessary, enforce proper administration of the trust.

An enforcer may:

inquire into how the trust is being administered;

require remedial action where the trust has been breached;

report financial or other breaches to the settlor or beneficiaries;

obtain access to trust documents, accounts and information; and

where necessary, pursue legal proceedings against trustees.

An important safeguard is that the same person cannot simultaneously perform the functions of both trustee and enforcer.

The enforcer therefore provides an additional layer of accountability, particularly where significant family wealth or long-term succession arrangements are involved.

E. Professional Advisers

A family trust may also work with professional advisers such as:

advocates;

accountants;

tax advisers;

investment advisers;

property managers;

valuers; and

financial advisers.

These persons are not, merely by acting as advisers, trustees or beneficiaries.

Their role is to provide specialised advice and support to the persons responsible for administering the trust.

4. What Is the Trust Deed?

The Trust Deed is the principal governing document of a living family trust.

It sets out the rules under which the trust operates.

The Trust Deed will typically address matters such as:

the name of the trust;

the identity of the settlor;

the appointment of the initial trustees;

the beneficiaries or classes of beneficiaries;

the purposes of the trust;

the initial trust property;

trustee powers and duties;

how trustee decisions are made;

appointment and retirement of trustees;

distributions to beneficiaries;

investment powers;

addition of property;

appointment and powers of an enforcer;

record keeping;

amendment powers;

dispute resolution; and

termination of the trust.

The Trust Deed should not be treated as a generic template.

A family whose main concern is protecting property for minor children may require very different provisions from a family establishing a multi-generational wealth-holding structure involving businesses, investments and real estate.

5. Living and Testamentary Family Trusts

A family trust may broadly arise in two ways.

Living Trust

A living trust is established during the settlor's lifetime.

The settlor can transfer property to the trust and the trustees can begin administering it while the settlor is alive.

This allows the structure to operate as part of the family's current estate and succession planning.

Testamentary Trust

A testamentary trust is created through a will and takes effect in connection with the settlor's death.

The appropriate structure depends on the family's circumstances, objectives, assets and succession plan.

6. Is a Family Trust Revocable?

This depends on the Trust Deed.

Under Kenyan law, unless a trust expressly contains a power of revocation, it is treated as irrevocable.

This means the issue should be considered carefully when the Trust Deed is being prepared.

A settlor should not assume that property transferred into a trust can simply be taken back whenever desired.

7. What Property Can Be Held in a Family Trust?

Subject to the terms of the trust and applicable law, trust property may include different types of assets, for example:

land;

residential or commercial property;

cash;

shares;

investments;

business interests;

intellectual property;

valuable movable assets; and

other property capable of being lawfully held for the trust.

The Trust Deed should identify the initial trust property or provide a mechanism by which property can subsequently be added.

Property can also be added to a trust after its establishment, subject to the Trust Deed.

It is important to distinguish between:

Property intended to be placed in the trust

and

Property that has actually been legally transferred or vested in the trust structure.

Simply listing an asset in a schedule does not necessarily complete every legal step required to transfer title to that asset.

Land, shares, bank accounts and other registered assets may require separate transfer, registration or account-opening processes.

8. How Is a Family Trust Established and Registered in Kenya?

The process ordinarily involves several stages.

Stage 1 – Define the Purpose

Before drafting documents, the family should determine what the trust is intended to achieve.

Questions include:

Is the objective succession planning?

Is the trust intended to preserve family property?

Who should benefit?

Should beneficiaries receive income, capital or both?

How much discretion should trustees have?

What assets will be transferred?

Should the settlor remain a beneficiary?

Is an enforcer appropriate?

How should trustee succession work?

This planning stage is important because the Trust Deed should reflect the actual family objectives.

Stage 2 – Identify the Parties

Identify:

settlor or joint settlors;

proposed trustees;

beneficiaries or beneficiary classes;

enforcer, where required; and

relevant professional advisers.

Identity and tax documentation will also be required for the registration process.

Stage 3 – Identify the Trust Property

Prepare a schedule of the assets that:

will initially form part of the trust; or

are intended eventually to be transferred to the trust.

Where property is already available, supporting ownership documentation should be gathered.

Stage 4 – Prepare the Trust Deed

An appropriate Trust Deed is prepared to record the legal and governance arrangements.

The deed should be reviewed carefully before execution because it determines how the trust will operate.

Stage 5 – Execute and Register the Trust Instrument

The Trust Deed should be properly executed.

For the current BRS incorporation process, BRS requires a duly registered Trust Deed or constitution as part of the incorporation documentation.

The necessary registration and stamping requirements should therefore be attended to before or as part of the incorporation process.

Stage 6 – Appoint the Trustees

The trustees must be properly appointed in accordance with the Trust Deed.

The incorporation documentation presently required by BRS includes records/minutes appointing the trustees.

Stage 7 – Prepare the Application for Incorporation

Under the Trustees (Perpetual Succession) Act, persons who have lawfully constituted themselves for the purpose of forming a trust may apply to the Registrar for incorporation.

The application may be lodged on behalf of the trust by the:

settlor;

trustee;

enforcer; or

advocate.

The current BRS process is conducted online.

9. What Information and Documents Are Required?

Current BRS guidance requires or contemplates documentation including the following, as applicable:

Trust Information

proposed trust name;

objects or purposes;

registered office;

contact address;

Trust Deed or other constitutive instrument; and

statement of initial trust assets.

Application Documents

prescribed application form;

petition for incorporation commissioned by a Commissioner for Oaths;

registered Trust Deed or constitution;

brief summary of the trust;

trustee appointment minutes; and

representation of the proposed common seal.

Parties

Certified identification and supporting documentation for relevant parties, including:

settlor;

trustees;

beneficiaries; and

enforcer, where applicable.

This generally includes:

national ID, alien card or passport;

KRA PIN documentation where applicable; and

passport-sized photographs.

Corporate participants require appropriate corporate registration and identification records.

Trust Property

Depending on the assets involved, documentation may include:

title deeds;

asset ownership documents;

current official searches;

financial statements or bank statements; and

other evidence demonstrating trust property or intended trust property.

The Registrar may request additional information or evidence depending on the application.

10. The Trust Name

Current BRS guidance requires the proposed name used for incorporation to end with the words:

“Registered Trustees”

The naming structure should therefore be considered at the formation stage rather than after the Trust Deed has already been finalised.

11. What Happens After the Application Is Submitted?

The Registrar considers the application and may:

approve it;

request clarification or additional information; or

reject it, in which case written reasons are to be provided.

The governing legislation provides for the Registrar to grant or reject an application within sixty days of receipt.

When the application is approved, a Certificate of Incorporation is issued.

Upon incorporation, the trustees become a body corporate under the registered name, with perpetual succession and the capacity, subject to the law, Trust Deed and conditions of incorporation, to hold property and sue or be sued in the corporate name.

12. Registration Is Not the End

The most common mistake in establishing a trust is to treat receipt of the Certificate of Incorporation as completion of the exercise.

In reality, this is when proper trust administration begins.

A well-managed trust needs ongoing attention to:

assets;

trustee decisions;

beneficiary matters;

banking;

accounts;

investment records;

regulatory filings; and

changes in the persons responsible for administering it.

13. Post-Incorporation Setup

Once incorporated, the trustees should review and complete the operational setup of the trust.

This may include:

Trust Bank Account

Open and properly mandate a bank account for the trust.

Trust money should not simply be mixed with the personal funds of trustees or beneficiaries.

Transfer of Assets

Complete any outstanding legal transfers necessary to ensure intended assets are properly held for or vested in the incorporated trustees.

Asset Register

Maintain an up-to-date record of:

land;

shares;

investments;
cash;
business interests;
other assets;
additions;
disposals; and
distributions.

Trustee Register

Maintain current and historic information concerning trustees.

Beneficiary Records

Maintain appropriate records of:

beneficiaries;
beneficiary classes;
distributions;
conditions;
changes in eligibility where permitted.

Governance Calendar

Record trustee meetings, annual compliance obligations, reviews and other important dates.

Tax and Regulatory Review

The tax treatment of trusts and transactions involving trusts can be fact-specific and may change over time.

The trustees should obtain appropriate tax advice regarding:

transfer of assets;
trust income;
distributions;
investments;
land transactions; and
other relevant matters.

A family trust should not be established purely on the assumption that registration automatically produces a particular tax outcome.

14. How Should Trustees Manage the Trust?

Trustees should administer the trust deliberately rather than informally.

Good trust governance should ordinarily involve:

complying with the Trust Deed;

keeping trust property separate from personal property;

maintaining proper financial records;

documenting important trustee decisions;

keeping an asset register;

maintaining beneficiary records;

reviewing investments;

monitoring obligations and deadlines;

recording distributions;

managing conflicts of interest;

maintaining copies of deeds, resolutions, agreements and asset documents; and

obtaining professional advice where necessary.

A trust holding substantial family wealth should have institutional records capable of surviving changes in trustees or generations.

15. Trustee Meetings and Resolutions

The Trust Deed should determine how trustees make decisions.

Depending on its terms, decisions may be made through:

trustee meetings;

written resolutions; or

other authorised procedures.

Significant matters that should normally be properly documented include:

acquisition or disposal of property;

investments;

distributions;

appointment of advisers;

banking mandates;

appointment or retirement of trustees;

major expenditure;

exercise of significant discretionary powers; and

changes affecting beneficiaries.

Proper minutes and resolutions help demonstrate why and how trustees exercised their powers.

16. Appointment or Change of Trustees

A trust should have a clear mechanism in the Trust Deed for:

appointment;

retirement;

resignation;

removal;

incapacity; and

replacement of trustees.

For an incorporated trust, the appointment of every new trustee must be certified to the Registrar after the appointment has been completed.

The internal Trustee Register should also retain historical trustee information rather than simply replacing the old record.

17. Annual Return of Trustees

An incorporated trust has an important recurring statutory requirement.

Within one month after each yearly anniversary of incorporation, the trustees must make a return to the Registrar showing the names and addresses of the trustees at the end of that annual period.

This should therefore form part of the trust's annual compliance calendar.

18. Changes to the Enforcer

Where an enforcer has been appointed, any change should be administered in accordance with the Trust Deed and applicable law.

The law requires trustees to notify the Registrar of a change of enforcer within the prescribed period.

The trust should also update its internal Enforcer Register and retain the supporting appointment or resignation documentation.

19. Adding Property to the Trust

Additional property may be added to a trust subject to the terms of the Trust Deed.

However, trustees should document:

what property was added;

who transferred it;

when it was transferred;

its ownership documentation;

its approximate value where appropriate; and
any terms or restrictions attached to it.
The Asset Register should then be updated.

20. Distributions to Beneficiaries

Distributions should be made strictly in accordance with the Trust Deed.

Trustees should record:

beneficiary;
amount or property distributed;
date;
basis for the distribution;
trustee approval; and
any conditions.

This is particularly important in discretionary family trusts because trustees may later need to demonstrate that they exercised their discretion properly.

21. Can the Trust Be Used to Hide Assets from Creditors?

No trust should be created or used for fraudulent purposes.

Kenyan law allows a court to declare a trust void where it is proved that it was established fraudulently, including for the purpose of evading the settlor's creditors.

A family trust should therefore be viewed as a legitimate estate-planning and wealth-management structure—not as a mechanism for unlawfully defeating existing obligations.

22. Is a Family Trust Right for Everyone?

Not necessarily.

A family trust can provide significant benefits, but it also introduces:

formal governance;
trustee responsibilities;
administration costs;
record-keeping requirements;
asset-transfer processes;
professional fees; and
ongoing compliance.

Before establishing one, consider:

the size and nature of the estate;
family structure;
succession concerns;
age and needs of beneficiaries;
types of assets;
business interests;
tax implications;
capacity and suitability of proposed trustees; and
the family's willingness to observe the structure after it has been created.

For a simple estate, a will or other succession arrangement may sometimes be sufficient.

For more complex family wealth, a trust may provide considerably more continuity and structure.

Professional advice should be obtained before choosing the appropriate arrangement.

23. Family Trusts and Succession Planning

One of the principal attractions of a family trust is continuity.

Individuals die.

Trustees change.

Beneficiaries grow older.

Family circumstances evolve.

A properly managed trust is designed so that the legal and governance framework continues despite those changes.

This does not mean that succession law becomes irrelevant. Rather, a trust can form part of a broader estate-planning strategy and should be coordinated with:

wills;
property ownership;
business succession;
insurance;
matrimonial and family considerations; and
tax planning.

24. How LexReg Can Help

LexReg can assist throughout the lifecycle of a family trust.

Formation

Structure assessment

Settlor, trustee and beneficiary information

Trust Deed preparation

Registration documentation

Incorporation support

Trust Records

Trust profile

Trustee Register

Beneficiary Register

Enforcer records

Trust Asset Register

Document Vault

Governance

Trustee meeting notices

Trustee resolutions

Minutes

Appointment and retirement records

Distribution records

Asset approvals

Compliance

Annual trustee-return reminders

Trustee-change tracking

Enforcer-change tracking

Asset records

Compliance calendar

Legal & Governance Reviews

LexReg can assist trustees in identifying:

missing governance records;

outdated trustee information;

incomplete asset records;

missing appointment documents;

unrecorded distributions;

inconsistencies between the Trust Deed and actual administration; and

other areas requiring professional review.

25. The Key Principle

A family trust should not simply be registered and forgotten.

Its value lies in the separation, continuity and governance it creates.

That requires the trustees to keep the legal documents, assets, decisions and administration of the trust aligned throughout its life.

A useful way of thinking about the structure is:

The Settlor creates the framework.

The Trust Deed contains the rules.

The Trustees administer the assets.

The Beneficiaries receive the intended benefit.

The Enforcer, where appointed, helps hold the trustees accountable.

And good record keeping preserves the integrity of the entire arrangement across generations.

Important Note

This guide provides general information about family trusts in Kenya. It is not a substitute for advice concerning a particular family, estate, transaction or tax position. Trust structures should be designed and administered according to their specific objectives, assets and circumstances.